

INVESTMENT COMMITTEE MEMORANDUM

Media & Entertainment Private Credit

Crescent Harbor Media Holdings, LLC

\$75.0 million senior secured unitranche borrowing base facility

RECOMMENDATION

Approve with Conditions

CREDIT RATING

3 — Watch

OVERALL SCORE

3.22 / 5.00

EXPECTED NET YIELD

8.23%

RECOMMENDATION

Approve with conditions

BORROWING BASE COVERAGE

1.23x

vs 1.10x minimum

LOAN-TO-VALUE

42.0%

vs 50.0% maximum

MIN PRE-MATURITY DSCR

1.20x

vs 1.25x minimum

DOWNSIDE BB COVERAGE

0.97x

vs 1.00x minimum

Investment thesis

An asset-backed first-lien facility carried by 1.23x borrowing-base coverage, 42.0% LTV and an 8.2% expected net yield. Repayment rests on borrowing-base discipline and controlled collections — not on enterprise value.

Why it is not a clean approval

- Downside borrowing base falls to 0.97x — short of full principal coverage.
- Minimum pre-maturity DSCR declines to 1.20x by Year 4 as the library decays.
- Modeled maturity cash shortfall of \$57.2 million — refinancing is the binding risk.

Covenant and threshold status

Test	Threshold	Status
DSCR	1.25x min	MODERATE
Loan-to-value	50.0% max	STRONG
Borrowing base coverage	1.10x min	STRONG
Downside BB coverage	1.00x min	HIGH RISK
Recovery	90.0% min	STRONG
Interest coverage	1.50x min	MODERATE

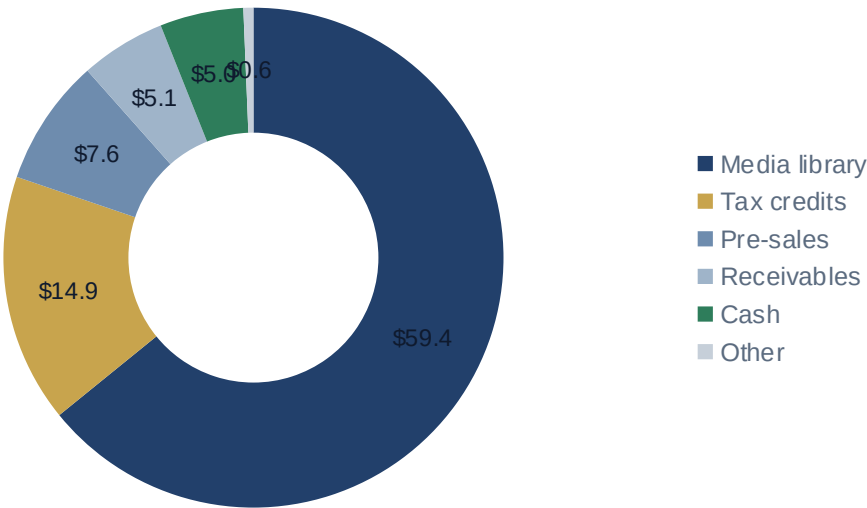
TAKEAWAY

Base collateral and cash flow support underwriting; downside coverage and the maturity bullet require covenants, cash control and a takeout plan.

Transaction overview

Borrower	Crescent Harbor Media Holdings, LLC
Facility	\$75.0mm senior secured unitranche
Purpose	Refinancing, working capital, content investment
Security	First-priority perfected lien; Delaware
Pricing	SOFR + 6.50% (10.13% all-in)
Tenor	5 years — Nov 2026 to Dec 2031
Amortization	2.0% mandatory, 50% cash sweep, bullet at maturity

Borrowing base by collateral type (\$mm)



FACILITY SIZE

\$75.0mm

BORROWING BASE

\$92.6mm

ELIGIBLE COLLATERAL

\$161.3mm

UNUSED CAPACITY

\$17.6mm

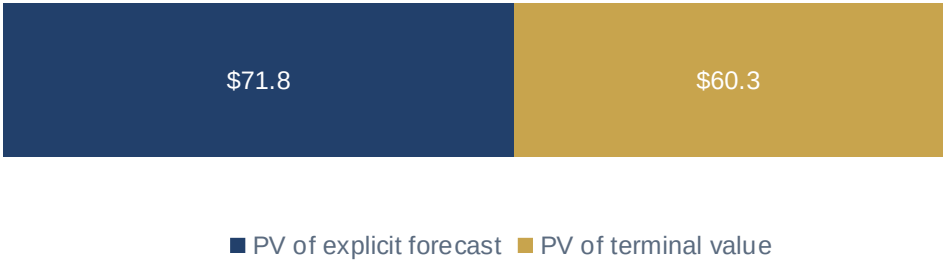
TAKEAWAY The \$92.6mm borrowing base covers the facility 1.23x — a materially narrower test than the 2.15x gross eligible collateral coverage.

Library valuation drives 64% of the borrowing base

Gross revenue and free cash flow (\$mm)



Value composition (\$mm)



TOTAL LIBRARY NPV

\$132.0mm

TERMINAL VALUE SHARE

45.7%

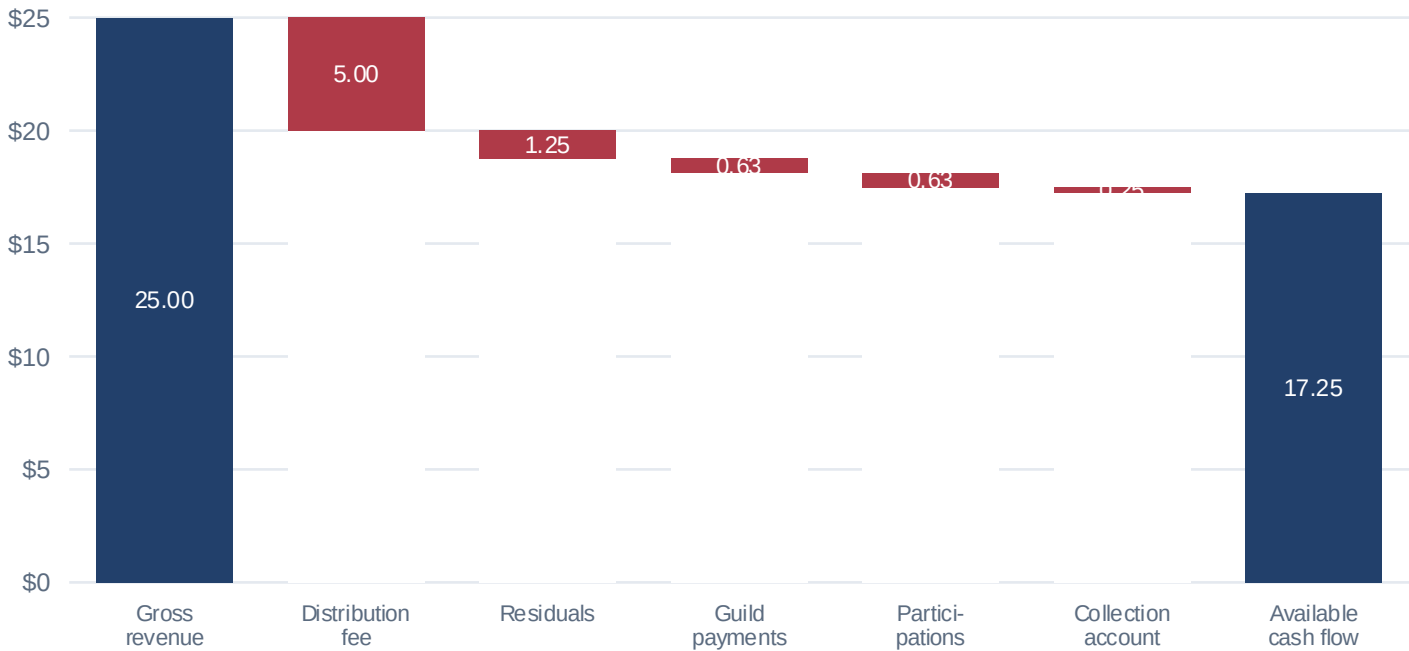
Sensitivity of library value to discount rate (\$mm)



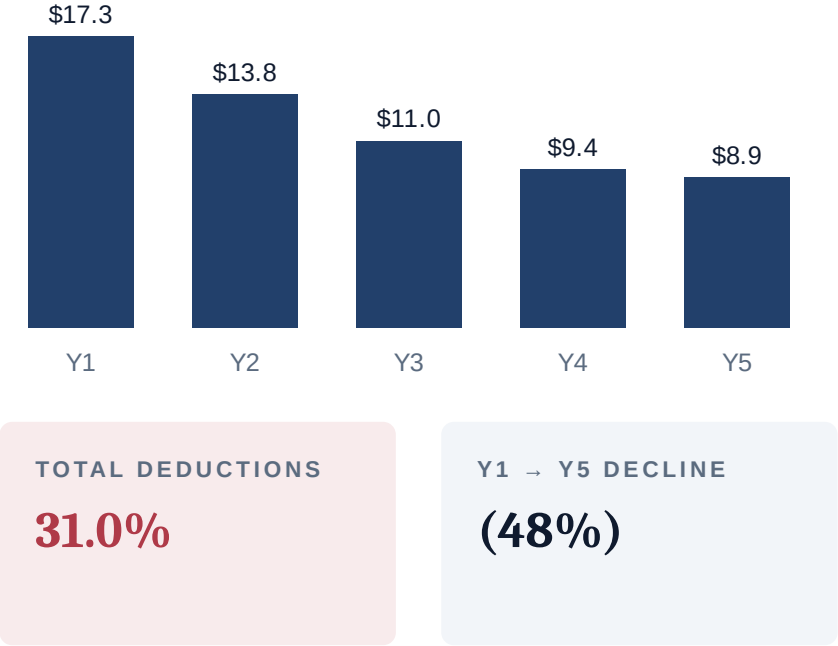
TAKEAWAY Terminal value is 46% of library NPV, and a 400bp move in the discount rate swings value by \$99mm — advance rates and reappraisal rights carry the risk.

Only 69 cents of every revenue dollar reaches the lender

Year 1 revenue bridge (\$mm)



Available cash flow by year (\$mm)



Contractual deductions — distribution fee, residuals, guild payments, participations and collection account fees — are senior to debt service and are not discretionary.

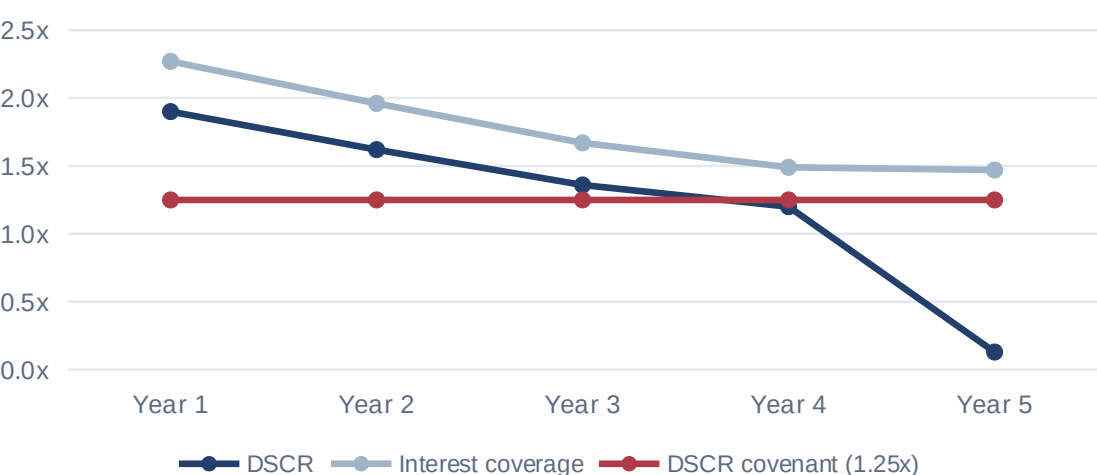
TAKEAWAY Available cash flow falls from \$17.3mm to \$8.9mm across the term, so debt-service headroom is widest exactly when the facility needs it least.

Coverage compresses to 1.20x before the maturity bullet

Debt outstanding (\$mm)



DSCR and interest coverage



YEAR 1 DSCR

1.90x

MIN PRE-MATURITY DSCR

1.20x

Year 4

BULLET AT MATURITY

\$58.5mm

MATURITY CASH SHORTFALL

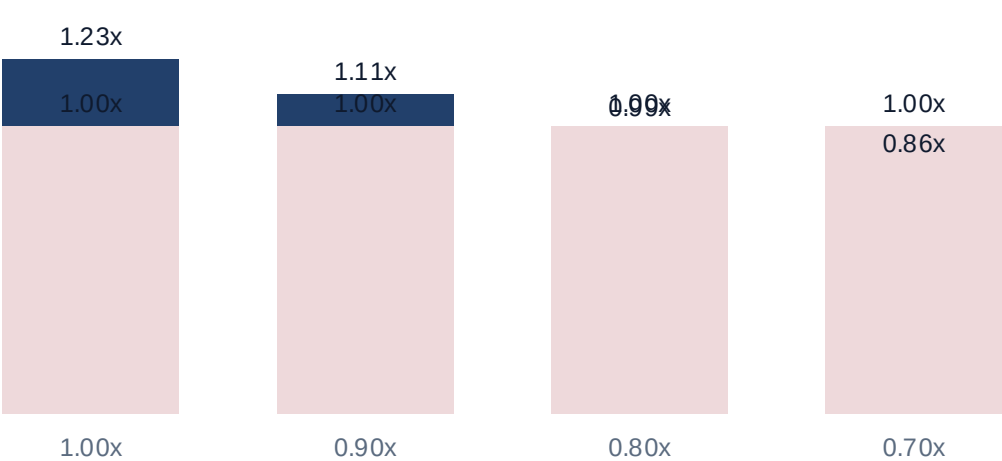
(\$57.2mm)

Year 5 DSCR of 0.13x reflects the maturity bullet rather than operating deterioration; the facility is underwritten to be refinanced, not amortized to zero from library cash flow.

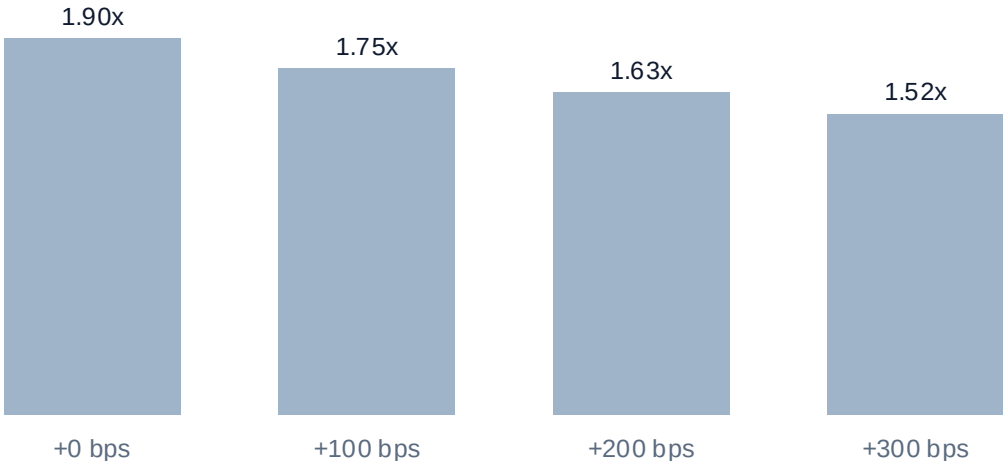
TAKEAWAY Refinancing risk — not pricing or day-one coverage — is the binding credit issue. A documented takeout plan is a condition, not a comfort.

Collateral deterioration bites before rate stress does

Borrowing base coverage vs revenue multiplier



Year 1 DSCR vs rate increase



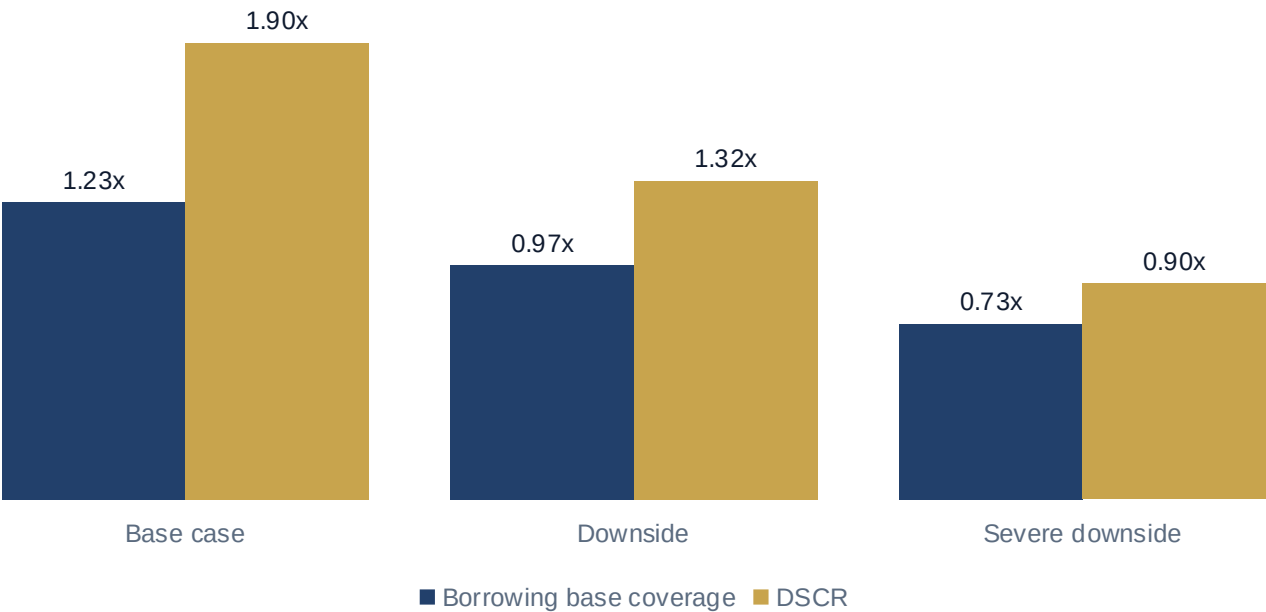
Borrowing base vs library advance rate (\$mm)



TAKEAWAY Coverage breaks 1.00x at roughly a 20% borrowing-base reduction. A 300bp rate shock still leaves 1.52x DSCR — collateral, not pricing, is the fault line.

The downside case breaches collateral, not cash flow

Borrowing base coverage and DSCR by scenario



Scenario drivers and outcomes

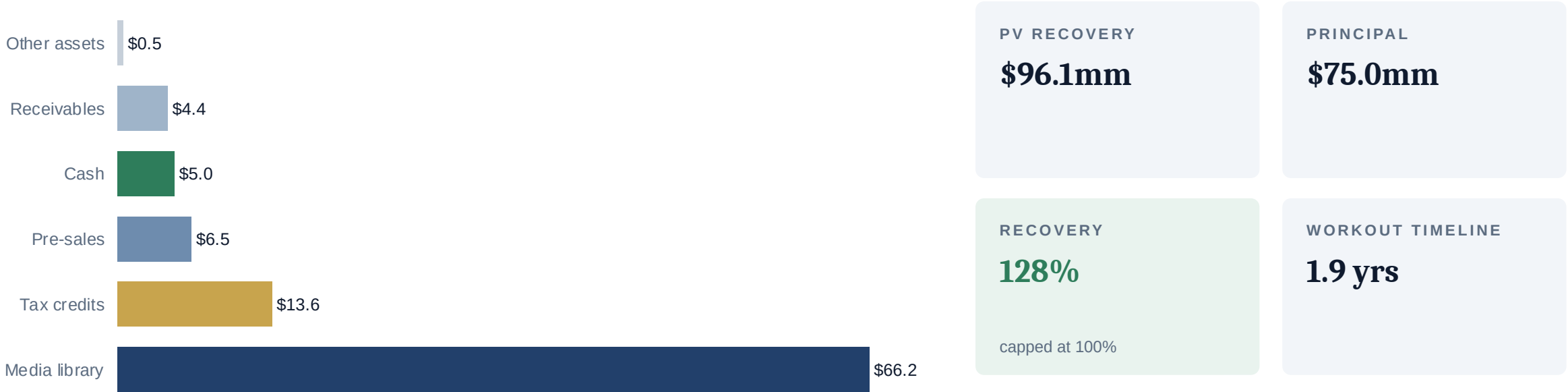
	Base	Down	Severe
Revenue multiplier	1.00x	0.85x	0.70x
Pre-sales multiplier	1.00x	0.85x	0.65x
Distribution fee	20%	23%	27%
Rate increase	—	+200bp	+400bp
Extra haircut	—	10%	20%
Library value	\$132.0	\$101.0	\$73.9
Borrowing base	\$92.6	\$72.9	\$54.7
Utilization	81%	103%	137%

Downside utilization of 103% means the facility exceeds its own borrowing base — the trigger for an equity cure or a mandatory paydown, not a default in itself.

TAKEAWAY Downside DSCR holds at 1.32x while borrowing-base coverage falls to 0.97x. Cure mechanics matter more than an additional cash-flow covenant.

Modeled recovery covers principal in full

Present value of recovery by collateral (\$mm)



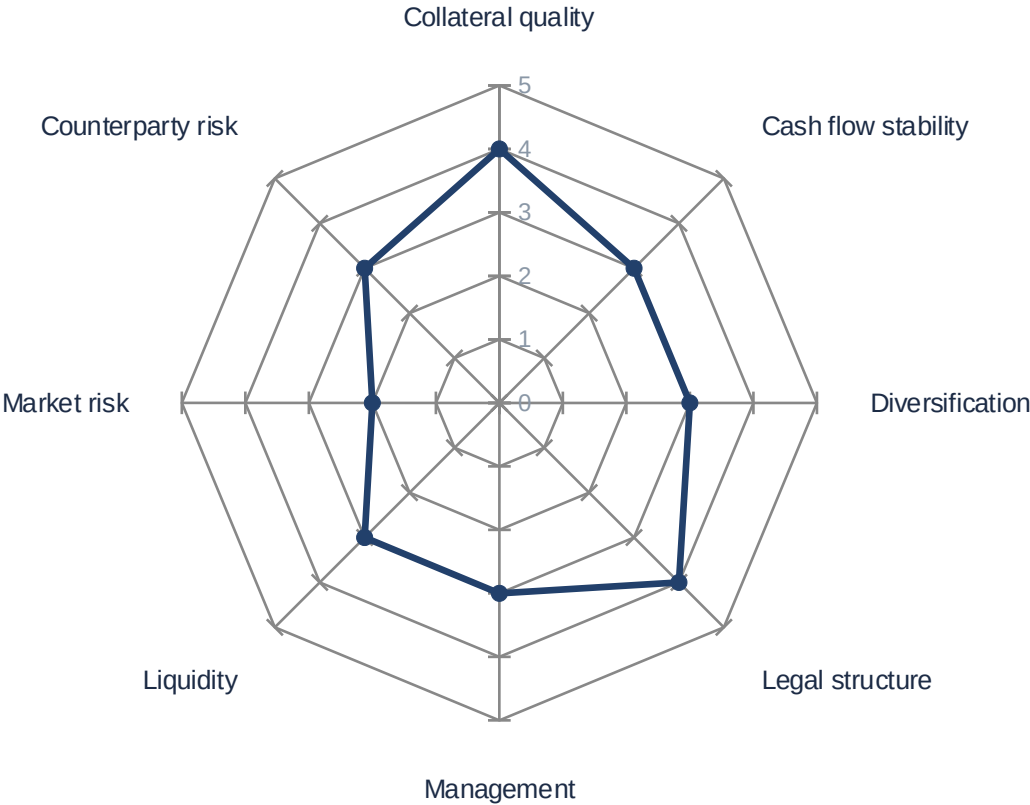
Liquidation recovery assumptions

Library 65% · Tax credits 90% · Receivables 75% · Pre-sales 70% · Cash 100% · Other assets 25%, each discounted over a two-year workout at 8.0%.

Recovery is shown uncapped at 128% alongside the 100% capped figure; the excess is collateral cushion, not incremental return.

TAKEAWAY First-lien recovery is the strongest part of the credit — but it is an appraisal and enforceability assumption, not a cash-flow fact.

Weighted credit profile scores 3.22 of 5.00



Weighted contribution

Category	Weight	Score	Weighted
Collateral quality	20%	4	0.80
Cash flow stability	18%	3	0.54
Diversification	12%	3	0.36
Legal structure	12%	4	0.48
Management	10%	3	0.30
Liquidity	10%	3	0.30
Market risk	10%	2	0.20
Counterparty risk	8%	3	0.24
Overall score	100%		3.22

TAKEAWAY Collateral and legal structure carry the score; market risk and liquidity drag it. 3.22 supports a conditional outcome, not a clean approval.

Severity concentrates in collateral value and title

	LOW IMPACT	MEDIUM IMPACT	HIGH IMPACT
HIGH PROBABILITY			
MEDIUM PROBABILITY		- Floating-rate burden - Tax credit timing delay	- Library revenue decay - Valuation volatility - Platform concentration
LOW PROBABILITY		Pre-sale counterparty default	Chain-of-title deficiency

Mitigants embedded in documentation

- Conservative advance rates, semiannual independent appraisal and borrowing-base redetermination.
- Eligibility limits, concentration caps and lender-controlled collection accounts.
- Legal diligence on chain of title, lien perfection and title representations — the one Low-probability, High-impact risk that cannot be priced.

Public media credit sits far inside this structure

Company	Year	Facility	Pricing	Collateral / covenant
Reservoir Media, Inc.	2025	\$550mm	SOFR + 2.00–2.25%	Substantially all assets; 0.45x max value-to-loan
Lions Gate Capital Holdings	2024	\$1,250mm	SOFR + 1.75–2.25%	First-priority liens on substantially all assets
Sphere Entertainment Co.	2024	\$1,400mm	SOFR + 2.50–2.75%	First-priority lien on Sphere and subsidiary guarantors
AMC Networks Inc.	2023	\$400mm	Not disclosed	Senior secured revolving credit facility
Crescent Harbor (modeled)	2026	\$75mm	SOFR + 6.50%	First lien on library, tax credits, pre-sales, receivables

Why the comparison is directional only

- Comparables are corporate-leverage revolvers for public issuers; this facility is a borrowing-base structure for a private borrower.
- The 425bp spread premium over the widest comparable prices illiquidity, size and collateral-realization risk — not simply credit quality.
- Advance rates and LTV are not publicly disclosed in any of the four transactions, other than Reservoir's value-to-loan covenant.

TAKEAWAY Public precedent supports first-lien packages and floating-rate pricing but offers no read on advance rates — the term that actually governs this facility.

Approval conditions and ongoing controls

1

Required covenants

- Minimum DSCR 1.25x; cash trap below 1.35x
- Maximum LTV 50%; mandatory paydown above
- Minimum BB coverage 1.10x; cure below 1.00x
- Quarterly BB certificates; semiannual appraisals
- Controlled accounts, concentration limits, full sweep

2

Conditions precedent

- Independent library appraisal and verified chain of title
- Perfection of first-priority liens and account control
- Tax-credit eligibility, timing and assignability validated
- Counterparty diligence and executed pre-sale notices
- Maturity takeout plan, liquidity reserve and rate hedge

3

Ongoing monitoring

- Monthly collections, waterfall and covenant reporting
- Quarterly DSCR, coverage, utilization, concentration
- Semiannual reappraisal and advance-rate redetermination
- Immediate reporting of title, tax-credit or distributor issues
- Refinancing progress tracked from 24 months pre-maturity

TAKEAWAY The structure must convert modeled collateral value into enforceable liquidity — controls and documentation, not forecast precision, carry this credit.

RECOMMENDATION

Approve with conditions

Credit rating 3 — Watch · Overall score 3.22 / 5.00 · Expected net yield 8.23%

1

WHAT WORKS

1.23x borrowing-base coverage, 42% LTV, diversified collateral, and modeled first-lien recovery that covers principal with cushion.

2

WHAT DOES NOT

Downside borrowing-base coverage of 0.97x, minimum DSCR of 1.20x, and a \$57.2mm maturity cash shortfall.

3

WHAT CLOSES THE GAP

Cure mechanics and mandatory paydown, controlled collections with a full sweep, independent appraisal with redetermination rights, and a documented takeout plan with a liquidity reserve.